

Memorandum of Law – Rebuttal to Shelley Richardson “Ledger Breakdown” (2 Jun 2025)

Prepared for filing with the Residential Tenancies Commission and inclusion in an RTA s. 155 penalty request

1. Executive Summary of Errors

- **A. Baseline math wrong** – Order WD2024-001539 caps base rent at **\$1,090**; Shelley’s “\$897” never appears in any order or ledger.
 - **B. Interest omitted** – RTA s. 158(2) makes statutory interest mandatory; the \$640 lump-sum refund covers principal only.
 - **C. Discount removal illegal** – A conditional discount can’t be removed mid-term without three-months’ notice (RTA s. 17(2.1)); no NORI was served.
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2. Detailed IRAC Analysis

Issue 2.1 — Wrong Baseline Figures

- **Rule:** Order WD2024-001539: “rent will be reduced by \$128.00 per month beginning 1 Feb 2024.”
- **Application:** Starting rent \$1,218 → cap \$1,090. Shelley subtracted the \$193 discount, conflating it with the court-ordered credit.
- **Conclusion:** Ledger never reflected the order; refund calculation invalid.

Issue 2.2 — Interest on Over-payment

- **Rule:** RTA s. 158(2) – interest is non-waivable.
- **Application:** Memo pays principal only; interest is absent from memo, e-mail chain, and Hazell’s order.
- **Conclusion:** Ongoing breach → s. 155 penalty applies.

Issue 2.3 — Discount Removal Without Notice

- **Rule:** RTA s. 17(2.1) & RTB Guidebook.
- **Application:** Discount removed Oct 2024; NORI checkbox blank.
- **Conclusion:** Unlawful \$193 spike July–Sept 2024.

Issue 2.4 — Ledger Falsification

- **Rule:** RTC decision (23 Dec 2024) caps base rent at \$1,309 from July 2024.
 - **Application:** Ledger still shows \$1,335 July–Sept; later “corrections” conceal over-charge.
 - **Conclusion:** Possible breach RTA s. 140(3) & Criminal Code s. 430.
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3. Consequences & Requested Relief

1. **Appeal** — File RTC Form 2 appeal of Order W2025WRR-000040 (deadline **16 Jul 2025**).
2. **Penalty** — Seek s. 155 administrative penalty for unpaid interest (running from Feb 2024).
3. **Audit** — Demand forensic Yardi ledger audit (1 Feb 2024 → present).
4. **Restitution** — Principal + statutory interest + \$263 × 3 refund (July–Sept 2024).
5. **Rectification** — Post monthly \$128 credit line on ledger to comply with WD2024-001539.

4. Refutation of Key Assertions

Landlord Assertion	Legal Counter-Point
"Rent went from 1,025 to 897."	Baseline is \$1,218 → \$1,090 cap; discount ≠ withdrawal credit.
"Lump sum completes compliance."	Interest is mandatory (RTA s. 158(2)).
"Discount removal is not a rent increase."	Needs three-month notice; barred mid-term.
"Ledger now correct at 1,309."	July–Sept lines still show \$1,335 base; over-charge concealed.

5. Procedural Next Steps & Deadlines

Forum	Filing	Deadline
RTC	Form 2 Appeal of W2025WRR-000040	16 Jul 2025
RTB Director	s. 155 Penalty Request + interest schedule	within 3 months of discovery
Ombudsman	Bias complaint (Branch reliance on landlord memo)	ASAP
RCMP	Fraud addendum (ledger falsification)	Next brief cycle

6. Closing

Shelley Richardson's calculations blend discounts with withdrawal credits, omit statutory interest, and ignore notice requirements. Correcting these errors shows Thorwin remains in breach and Officer Hazell's compliance order is unsustainable.